

Microsoft Corporation

MSFT — Quarterly Report on Form 10-Q (Illustrative)

Quarter Ended March 31, 2025

Filed with the Securities and Exchange Commission (synthetic)

Quarter Highlights

- Total revenue of \$70.1 billion, up 13% year-over-year.
- Azure and other cloud services revenue grew 33% year-over-year, including roughly 16 percentage points of growth attributable to AI services.
- Microsoft 365 Copilot seat count more than doubled sequentially, though management noted penetration remains in early stages relative to the broader Microsoft 365 commercial base.
- Capital expenditure, including finance leases, rose to approximately \$21.4 billion to support data center and AI infrastructure capacity.
- The Board of Directors declared a quarterly dividend of \$0.83 per share.

Condensed Income Statement

(\$ in millions)	Q3 FY2025	Q3 FY2024
Revenue	\$70,066	\$61,858
Cost of revenue	\$22,844	\$19,850
Gross profit	\$47,222	\$42,008
Operating income	\$32,015	\$27,581
Net income	\$25,824	\$21,939

Revenue and Guidance

Management guided Intelligent Cloud segment revenue for the following quarter to grow in the low-30% range year-over-year, citing continued Azure capacity additions coming online through the remainder of the fiscal year. Management indicated that capital expenditure growth is expected to moderate on a percentage basis in subsequent fiscal years as infrastructure build-out shifts from broad capacity addition toward more targeted, efficiency-focused investment.

Segment Performance

Segment	Q3 FY2025	Q3 FY2024	YoY Growth
Intelligent Cloud	\$26.8B	\$23.4B	+15%

Productivity & Business Processes	\$20.3B	\$19.2B	+6%
More Personal Computing	\$13.4B	\$13.1B	+2%

Management Commentary

Management said commercial bookings growth reflected large, long-term Azure commitments from enterprise customers, including multi-year AI infrastructure agreements. Management also noted early signs of Copilot-driven seat expansion within existing Microsoft 365 enterprise agreements, describing this as an emerging, though still nascent, monetization layer on top of the Company's existing productivity subscription base.